

Outlook

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Sent	Tue, 16 Feb 2021 16:37:00 -0000

APR, affordability and later outcomes

Hi team,

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes.

We looked at a version of this before. For the February 2021 review, please show what changed and whether the earlier conclusion still holds. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

Can you test these explanations rather than choosing one at the start?

- higher spreads align with higher expected risk
- later distress is concentrated in affordability edges rather than price
- channel or product creates unexplained pricing differences

The decision is which pricing rules need review and which differences require conduct testing. Please give us a control view with the exceptions, owner and reason each item was included.

You should be able to build the evidence from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots. This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Thanks